

Economic Management NCQs

Here are the answers formatted as you requested:

PART-A

1. The power to hold workers accountable for their actions and to make decisions about the use of organizational resources is known as
Answer: Authority
2. _____ was one of the first to recognize that organizations could be viewed from the perspective of individual and group behavior.
Answer: Elton Mayo
3. Management Science came into existence in a _____ context.
Answer: Military
4. In the behavioral management approach, the primary focus of the manager is _____.
Answer: People
5. In a mechanistic organization, communication is mostly _____.
Answer: Top-down
6. _____ Structures include cross-hierarchical and cross-functional teams and a flat structure.
Answer: Organic
7. Grouping activities on the basis of customer flow is _____ departmentalization.
Answer: Process
8. Procter & Gamble has separate departments for Tide, Pampers, Charmin, and Pringles. This is an example of departmentalization by _____.
Answer: Product
9. In Maslow's hierarchy of needs, _____ is the highest level of need.
Answer: Self-actualization
10. The offering of employee health insurance addresses which of Maslow's needs?
Answer: Safety needs

11. Individuals become leaders based on their _____.
Answer: Traits and behaviors
12. The ability to influence people through granting or withholding benefits that are of interest to them is called _____.
Answer: Reward power
13. Mr. X is the only person in the company with expertise in the E-Commerce field. This source of power is called _____.
Answer: Expert power
14. The demand for a good increases when the price of a substitute _____ and also increases when the price of a complement _____.
Answer: Increases, Decreases
15. The price elasticity of demand is 5.0 if a 10 percent increase in the price results in a _____ decrease in the quantity demanded.
Answer: 50%
16. Adam Smith called price mechanism as _____.
Answer: Invisible hand
17. An economy that interacts with other economies is known as _____.
Answer: Open economy
18. _____ growth is the percentage increase in the real GDP.
Answer: Economic
19. Microeconomics and Macroeconomics are the study of _____ and _____ respectively.
Answer: Individual markets, National economy
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Management and Economics Questions & Answers

1. List the functions of management.

Answer: Planning, Organizing, Leading, Controlling

2. What is the meaning of the term 'Quantitative approach'?

Answer: It is a management approach that uses mathematical models, statistics, and computational techniques to aid decision-making.

3. Name the types of goals and plans.

Answer:

- **Goals:** Strategic, Tactical, Operational
- **Plans:** Strategic Plans, Tactical Plans, Operational Plans, Contingency Plans

4. Write the meaning of the corporate strategy.

Answer: A corporate strategy is the overall plan of an organization that defines its direction, growth, and competitive positioning in the market.

5. What is the meaning of the term work specification?

Answer: Work specification refers to clearly defining job roles, responsibilities, and tasks required for a specific position within an organization.

6. Meaning of the chain of command is _____.

Answer: The chain of command is the formal line of authority and responsibility in an organization, from top management to lower levels.

7. List the early theories of motivation.

Answer:

- Maslow's Hierarchy of Needs
- Herzberg's Two-Factor Theory
- McGregor's Theory X and Theory Y
- McClelland's Need Theory

8. Write the steps of Maslow's theory.

Answer:

- Physiological Needs
- Safety Needs
- Social Needs
- Esteem Needs
- Self-Actualization

9. Name the behavioral theories.

Answer:

- Trait Theory
- Behavioral Theory
- Contingency Theory

10. Explain the term Herzberg's two-factor theory.

Answer: Herzberg's theory states that job satisfaction is influenced by two factors:

- **Motivators:** Factors that increase job satisfaction (e.g., achievement, recognition, growth).
- **Hygiene Factors:** Factors that prevent dissatisfaction (e.g., salary, job security, work conditions).

11. What is the meaning of managerial grid?

Answer: A leadership model that evaluates management styles based on concern for people and concern for production.

12. Measuring of contingency theory of leadership is _____.

Answer: It is measured based on situational factors and how a leader's effectiveness depends on adapting to different circumstances.

13. Importance of economics is _____.

Answer: Economics helps in resource allocation, decision-making, market understanding, and economic growth.

14. Equilibrium in markets for goods and services _____.

Answer: Occurs when supply equals demand, leading to a stable market price.

15. Price elasticity means _____.

Answer: The responsiveness of quantity demanded or supplied to changes in price.

16. Differentiate between micro and macroeconomics.

Answer:

- **Microeconomics:** Studies individual markets, consumer behavior, and businesses.
- **Macroeconomics:** Studies overall economic growth, inflation, and government policies.

17. Define supply and demand.

Answer:

- **Supply:** The quantity of goods/services that producers are willing to offer at different prices.
- **Demand:** The quantity of goods/services that consumers are willing to buy at different prices.

18. Illustrate the neo-classical synthesis.

Answer: A combination of classical and Keynesian economics, emphasizing that free markets operate efficiently but require government intervention in times of economic downturn.

19. Define growth theory.

Answer: Growth theory explains the factors that drive long-term economic growth, such as capital accumulation, technological progress, and productivity improvements.

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Management and Economics Questions & Answers

1. Mohan, a manager, does not distribute the work amongst his subordinates either according to capability. Which principle of management is ignored here?
Answer: Division of Work
2. _____ roles involve people and other duties that are ceremonial and symbolic in nature.
Answer: Interpersonal
3. The process of setting goals and choosing the means by which these goals will be achieved is known as _____.
Answer: Planning
4. An established set of decisions to deal with specific activities that recur frequently within the organization is known as _____.
Answer: Standing Plan

5. The principle of Chain of Command is found in _____ type of organization.
Answer: Hierarchical Organization
6. _____ management principle states that each individual should report to only one boss in order to avoid conflict and/or confusion.
Answer: Unity of Command
7. If a general manager asks the sales manager to recruit some salesmen on his behalf, it is an instance of _____.
Answer: Delegation
8. At what level of an organization does a corporate manager operate?
Answer: ~~Top level~~ middle
9. A person's need for power and authority falls under which category of need in ERG theory of motivation?
Answer: Growth Needs
10. _____ leadership style is characterized by contingent reward and management by exception.
Answer: Transactional Leadership
11. _____ is a set of forces that energize, direct, and sustain behavior.
Answer: Motivation
12. _____ proposes that if a higher-level need fails to be filled then a person may regress and seek to further fill lower-level needs instead.
Answer: ERG Theory (Alderfer's Regression Hypothesis)
13. A decrease in demand causes the equilibrium price to _____.
Answer: Decrease
14. The law of demand states that the quantity of a good demanded varies _____ with its price.
Answer: Inversely
15. The income elasticity of demand is the percentage change in the quantity demanded divided by the percentage change in _____.
Answer: Income
16. The market for automobiles is an example of _____ oligopoly.
Answer: Differentiated Oligopoly
17. The LM curve will shift down when the _____ demand declines.
Answer: Money

18. The total amount of income from economic activities across the country in a year is called _____.

Answer: National Income

19. Gross National Product will exceed Gross Domestic Product if net factor payments from abroad are _____.

Answer: Positive

20. Bob spends cash on rice, tuition fees, flour, etc. In this scenario, which index is used to estimate the average of the entire expenses?

Answer: Consumer Price Index (CPI)

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Here are the answers in a Word-friendly format:

Management and Economics Questions & Answers

1. Mention any two experiments conducted under the "Hawthorne Studies".

Answer:

- **Illumination Experiment** – Studied the effect of lighting on worker productivity.
- **Relay Assembly Test Room Experiment** – Analyzed the impact of work conditions and social factors on performance.

2. Draw the hierarchy of plans.

Answer:

(Hierarchy of Plans is typically represented as a pyramid. You can insert a diagram in Word with the following structure:)

- **Mission (Top)**
- **Strategic Plans**
- **Tactical Plans**
- **Operational Plans (Bottom)**

3. Give any two examples of Dissatisfiers mentioned in “Herzberg’s Two Factors Theory”.

Answer:

- Salary
- Working Conditions

4. List the various players involved in the model of a simple economy.

Answer:

- Households
- Firms

5. Mention any two measures of GDP.

Answer:

- Nominal GDP
- Real GDP

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Management and Economics Questions & Answers

1. _____ management methods called for optimizing the way that tasks were performed and doing the job in one “best” way.

Answer: Scientific Management

2. _____ concluded that managers perform ten interrelated activities that relate to decision-making, using information and interpersonal relationships.

Answer: Henry Mintzberg

3. Identify the type of plan in which the time span of the plan may vary from 5 to 10 years or more.

Answer: Strategic Plan

4. A _____ organization structure is the simplest form and has clear lines of authority and ease of decision-making.

Answer: Line Organization

5. Name the person who suggested that for all human motivation, the following needs can be organized in a hierarchical manner:

Answer: Abraham Maslow

6. _____ leadership theory suggests that management style adapts itself to changing circumstances.

Answer: Contingency Theory

7. In a centrally planned economy, the central problems are solved by _____ authority.

Answer: Government

8. Write the difference between microeconomics and macroeconomics.

Answer:

- **Microeconomics** studies individual markets and consumer behavior.
- **Macroeconomics** studies the economy as a whole, including inflation, GDP, and national income.

9. A _____ market is the place where workers and employees interact with each other.

Answer: Labor Market

10. _____ is the total market value of the goods and services produced by a country's economy during a specified period of time.

Answer: Gross Domestic Product (GDP)

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Answers to Management and Economics Questions

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Answer: Percentage Change

20. A shift in the supply curve to the right indicates an _____ in supply.

Answer: Increase

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